



Presents

Forex Profit Protocol

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Forex Profit Protocol

Today, I am going to share with you a trading strategy that is as old as the market itself and is so profitable because of its universality. I will also share my custom indicator that will help you trade this strategy with ease. But first, let's go through the basics that lie behind this strategy.

The trading system I am about to explain to you has a lot to do with stop losses. If you have been trading for a while now, you know the importance of stop losses in Forex trading.

As many traders know, what separates the Forex market from other markets and makes it so unique, is the size of leverage that we can use. The leverage can be as high as 500:1 and over (except for the US because of regulations), which means that with each dollar we have, we can control \$500 on the market and can make deals with this amount.

With such high leverages, Forex traders could double their account in a matter of hours, but on the other hand, run the risk of losing the entire account fast. That's why smart Forex traders never trade without a properly set stop loss. In Forex trading, a stop loss is the best protection to preserve capital. It is an absolute must when trading such a highly leveraged and volatile market.

However, if they aren't set at the appropriate levels, your account can be eaten by big players like financial institutions and investment banks. There are many ways to set the stop loss and one of them is almost every trader's favorite... simply because of human nature.

Let me explain further. The most commonly used levels for setting stop losses are round numbers because it is in our human nature to seek some kind of order. For the sake of our discussion, the round numbers I'm taking about can be increments of 100 pips, like 1.2900 and 1.3000 on the EUR/USD.

Taking advantage of this, the big players tend to make big money around these round numbers from smaller traders that don't setting their stop losses properly, causing a stronger directional momentum that gives them a bigger chance for profits.

To increase the odds in our favor, we can model our trading strategy to work around this, such as placing our stop losses at less typical levels, or even riding on these strong Stop Loss breaking movements.

The Forex Profit Protocol strategy will put us on the side of the winner's. It is very simple, easy to understand and implement because all we need is the price chart, the Forex Profit Protocol software and a Simple Moving Average.

So how do we trade? We are more concerned with the area near round numbers, which is 15 pips on each side. This 30 pips territory is our so called "trading area" where the odds of making profits are on our side.



When the majority of stop losses are being hit close to the round numbers, it will increase price momentum and will drive the currency further in a stronger movement than it would normally do in its original direction.

Because nobody knows how many stop losses would be hit, nobody could predict how strong the momentum would be. This is quite a speculative way of trading. Forex trading is speculative by nature, so it is good to take advantage of the momentum the "big guys" make.

One of the most important aspects of this strategy is to trade in the direction of the major trend. This will ensure the highest profitability and success because the momentum of the market is followed.

System Components & Indicators

Timeframe:

H1 (1 hour) is my preferred timeframe for trading this strategy.

Currency Pairs:

I prefer to trade with pairs that have low spreads, like the EUR/USD.

Indicators:

Forex Profit Protocol Software
10 Period Simple Moving Average (SMA) with shift 1

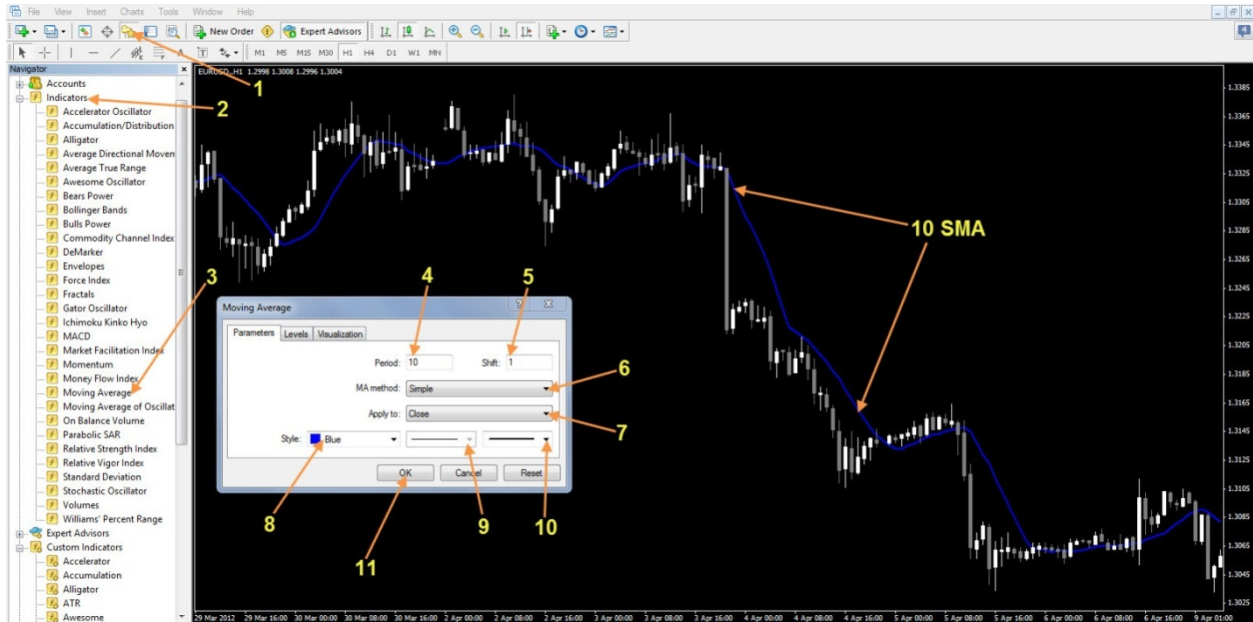
Chart Setup

Forex Profit Protocol Software

Please watch the installation video to see how to install the Forex Profit Protocol software.

10 Period Simple Moving Average (SMA) with shift 1

On the image below, you can see how I apply the 10 SMA on the chart.



1. Click on the Navigator button to open the Navigator window.
2. Click on Indicators to expand the list of indicators.
3. Find Moving Averages on the list and double click on it. The settings dialogue box will pop up for you to set the parameters of the indicator.
4. Set the Period at 10.
5. Set the Shift at 1.
6. Click on the MA method drop down menu and select "Simple".
7. Leave the "Apply to" section at the default value: Close.
8. Click "Style" to choose the color for your indicator. On this chart, I'm using Blue.
9. Leave the line type as it is by default.
10. This is for setting the indicator line width.
11. Click on the OK button to apply the 10 SMA to your chart.

Trend Determination

Before we proceed with the Forex Profit Protocol trading strategy, I want to show you the easiest way to determine the major trend direction. We need to know this because this increases profitability of our trading exponentially.

Take a look at the uptrend shown below.



As you can see, the 10 SMA is increasing in value and the price is above it for the majority of the time. This is enough for us to know that the trend was up. So if we have a similar scenario, we will consider that an uptrend and we will only look to trade in its direction for a higher probability of success.

On the next image, you can see a downtrend.



Here, the 10 SMA is decreasing in value and the price is below it most of the time. When we have this type of market behaviour, we can say that the trend is down.

As you can see, it is really simple to determine the trend direction using the 10 SMA and pure price action. Next, I will explain the trading rules.

Long Entry Rules

1. The trend must be heading up.
2. Wait for the price to climb up towards a round number level. We want the price to break 2/3rds of the entire range between 2 round numbers. For example, if we are in uptrend on the EUR/USD and price is in between the 1.3000 and 1.3100 levels, we want the price to climb up above 2/3 of this range or above the 1.3067 level to consider that as a possible long trade set up.
3. As soon as price reaches 15 pips below the next round number, we can open a buy order. If we use the same example with the EUR/USD pair above, as soon as price breaks the 1.3085 level, we can go long. We can also use a pending order to enter trades.
4. The stop loss is set 15 pips under the entry point.
5. We have 3 options in setting the take profit – Conservative, Aggressive and Managed.
 - a) Conservative exit – The next round number. In the EUR/USD example above, our first target is the 1.3100 level.
 - b) Aggressive exit – This is the round number level plus 15 pips. In our example, it will be at the 1.3115 level.

- c) Managed exit – Here, we close half of our position on the round number level, then move our stop loss level to the break even and close the rest at the round number plus 15 pips. This way, we can lock in some profit and preserve it by moving the stop loss to break even.



And now I'll show you a long entry example.

Below, a long trade was taken on the GBP/USD pair on the H1 (1 hour) chart on the 25th of October 2012.



An hour before the London session opened, there was a sign to look for a long trade as the price has moved above the 1.6067 level, which is 2/3 of the entire range between the 1.6000 and 1.6100 levels.

The trend was clearly heading up because the 10 SMA was increasing in value and the price was above it for most of the time.

So, a pending buy order for 2 lots was set at the 1.6085 level and it was triggered a couple of hours later.

A stop loss was set exactly 15 pips below the long entry at the 1.6070 level.

Next, when price hit the 1.6100 level, the first lot was closed, the stop loss was moved to break even at the 1.6085 level and the take profit for the second lot was set at the 1.6115 level. Not long after, the price had moved through the take profit at 1.6115 and hit the second take profit level.

From this trade, we bagged 15 pips from the first lot and 30 pips from the second.

Now let's take a look at Short trade conditions.

Short Entry Rules

1. The trend must be headed down.
2. Wait for the price to decline towards a round number. We want the price to break 2/3rds of the entire range between 2 round numbers. For example, on the EUR/USD, if price is between the 1.2800 and 1.2900 levels, we wait for the price to decline 2/3 of this range or below the 1.2833 level to look for a possible short trade set up.
3. As soon as price breaks below the next round number plus 15 pips, we can open a sell order. In our example, as price breaks below the 1.2815 level, we can go short. We can also set a pending sell order instead of waiting for the price to reach that level.
4. Set the stop loss 15 pips from the entry point.
5. We also have 3 options for setting the take profit – Conservative, Aggressive and Managed.
 - a) Conservative exit – The next round number. In our example, our first target is the 1.2800 level.
 - b) Aggressive exit – This is the level 15 pips below the round number. In our example, it will be at the 1.2785 level.
 - c) Managed exit – Here, we close half of our position when price reaches the round number, then we move our stop loss to break even and close the rest 15 pips below the round number.



Next, I will show you a short trade example.

Short Trade Example

On the image below, you can see a short trade on the EUR/USD H1 chart.



Close to the New York session open, the price has reached 2/3rds of the range between the 1.2500 and 1.2400 levels or below the 1.2433 level. This was a signal to prepare for the upcoming short opportunity.

The trend direction at this time was clearly to the downside as the 10 SMA was decreasing in value downwards and the price was below it most of the time.

The price declined and hit the trigger level for placing a sell order at 1.2415 and a short position with 2 lots was opened.

Immediately after that, a stop loss of 15 pips was set above the entry point at the 1.2430 level. Then a take profit of 30 pips was set at the 1.2385 level.

As soon as price touched the 1.2400 level, the first lot of the position was closed and the stop loss was moved to break even.

Because of the strong momentum push, a few minutes later, the take profit was hit and the second lot of the position was closed at 1.2385 level. In less than an hour, the profit from this short trade was 15 pips from the first lot and 30 pips from the second.

As you can see, the Forex Profit Protocol is very simple but at the same time, it is a very powerful and productive strategy that offers a lot of profitable opportunities. It is easy to

understand and implement because there are no complicated readings of different indicators involved, just a basic knowledge and understanding of the Forex market movement.

Best Regards,

Russ Horn

P.S. If you have any questions, please don't hesitate to send me an email here:
support@rapidresultsmethod.com